



Limited Resources

▼ What are economic resources?

There are four factors of production or resources involved in production

▼ Land

The natural resources available to the economy such as minerals or fish in the ocean

▼ Labour

The human resources who are in the labour force such as engineers or doctors

▼ Capital

The produced resources such as machinery or vehicles

▼ Enterprise

Leadership and management resources such as a CEO's ability to take and organise production

▼ Are resources limited or finite?

For example, some energy resources are renewable and some are non-renewable. However, the supply of renewable resources is still limited by labour, capital and enterprise. The supply of economically useful non-

renewable resources is being extended by research into new technologies that allow the use of deep sea LNG fields previously unusable.

▼ **What are needs and wants?**

Needs are the things you fundamentally need to survive such as basic physiological needs like food and shelter

Wants are luxuries that are not needed to survive but you would like to have such as products that provide security, social interaction and friendship.

▼ **Are wants unlimited or infinite?**

In economics, we assume that it is in the pursuit of self-interest people will always want to increase the quantity and/or quality of the goods and services they buy. Rational economic people are assumed to aim for maximum satisfaction in their standard of living. However in the real world not everyone is like this. There are some people such as naturists who don't want to achieve this. There is also the idea that some wants are more urgent than others such as the desire for security trumps the desire for social interaction and friendship and so on.